

Servotech Power Systems Ltd

Now **Servotech Renewable Power System Ltd** · NSE: SERVOTECH · Concall Tracker — Q1 2027 filing

Coverage: 13 earnings calls, Q1 FY24 (Jul 2023) → Q4 FY26 (May 2026). Latest call read in full: Q4 FY26, held 1 May 2026. No prior report — full multi-year read. All figures ₹ crore unless noted.

1. Snapshot

Servotech is a Delhi-based "smart power" maker. It designs and assembles **electric-vehicle (EV) chargers** (small AC home chargers up to large 120–360 kW DC fast chargers), **solar products** (inverters, rooftop systems, panels via a stake in a solar-PV maker), and **battery energy storage systems (BESS)** and lithium battery packs. It sells two ways: big government/PSU tenders (railways, oil-marketing companies, state agencies) that are ~60% of sales, and a fast-growing retail/dealer channel that is ~40%.

MARKET CAP

₹2,160 cr

Small-cap; how the market values the whole company.

REVENUE FY26 (STANDALONE)

₹637 cr

Total sales, up just 8% on FY25 — sharp slowdown after FY25's +91%.

NET PROFIT FY26

₹36 cr

Profit after all costs and tax, up ~8%.

OPERATING MARGIN FY26

11.6%

Profit from operations per ₹100 of sales — record high, up from 9.7%.

STOCK P/E

54x

Price paid per ₹1 of annual profit — a rich, high-growth-priced valuation.

BORROWINGS MAR-26

₹198 cr

Debt, up from ₹75 cr a year earlier — nearly tripled to fund capacity + receivables.

Two warning lights in the numbers: operating cash flow was **negative in both FY25 (–₹51 cr) and FY26 (–₹11 cr)** — profits are being booked but cash is not coming in — and foreign institutional holding collapsed from **8.9% (Sep-23) to 0.05% (Jun-26)**, i.e. professional foreign investors have almost entirely left.

2. Concall coverage

All 13 available transcripts were read, spanning three fiscal years of quarterly calls (Q1 FY24 through Q4 FY26).

Management is consistent: Managing Director Raman Bhatia leads every call, with CFO Vipin Kaushik. This is a first-time (no-prior) report, so the whole history was read.

Period	Call date	Read?	Period	Call date	Read?
Q1 FY24	24 Jul 2023	Yes	Q3 FY25	23 Jan 2025	Yes
Q2 FY24	01 Nov 2023	Yes	Q4 FY25	07 May 2025	Yes
Q3 FY24	07 Feb 2024	Yes	Q1 FY26	01 Aug 2025	Yes
Q4 FY24	11 May 2024	Yes	Q2 FY26	10 Nov 2025	Yes
Q1 FY25	31 Jul 2024	Yes	Q3 FY26	03 Feb 2026	Yes
Q2 FY25	30 Oct 2024	Yes	Q4 FY26 ★	01 May 2026	Yes (latest)
Q3 FY24 (dup)	Feb 2024	Yes	★ = freshest call; its Q1 FY27 call (~Aug 2026) had not been held at time of writing.		

2b. Latest concall highlights — Q4 & FY26 (call 1 May 2026)

- **Record finish.** Q4 FY26 standalone revenue **₹212 cr, up 76%** year-on-year; quarterly operating profit (EBITDA) **₹23 cr, up 76%**; net profit **₹11.7 cr, up 49%**. H2 FY26 was the strongest half in the company's listed history (₹411 cr revenue, 12% margin).
- **Full year looks softer than the quarter.** FY26 standalone revenue **₹637 cr grew only 8%** (on a high FY25 base); operating margin rose to a record **11.6%** (from 9.7%) on a shift toward solar inverters, high-capacity DC chargers and BESS. Consolidated revenue was **flat at ₹674 cr** because management deliberately shrank a low-margin medical-devices subsidiary (Rebreathe) from ₹98 cr to ₹32 cr.

- **Balance sheet is the headline risk, and management knows it.** Standalone debt jumped from ₹75 cr to **₹196 cr** and receivables from ₹155 cr to **₹243 cr**; operating cash flow was negative. Cause: ₹64 cr capacity build-out, ~₹40 cr stuck with oil-marketing companies (IOCL/BPCL/HPCL) and ~₹60 cr in railway projects billed 60% on delivery, 40% on commissioning.
- **FY27 reframed as "operational consolidation," not growth.** Stated goals: no fresh long-term debt, capex moderating, restore positive operating cash flow, cut gearing below 0.5x, and bring working capital to 60–70 days. A **QIP (fresh equity raise)** is "in progress."
- **Tone:** confident on operations and margins, notably defensive and explanatory on the balance sheet, and — as usual — declines any hard forward guidance, citing regulatory (SEBI) caution.

2c. Business mix & capacity

Product mix (FY26 revenue): solar ~51%, DC chargers ~15%, AC/small chargers ~27%, energy storage ~1%, other ~4% — so solar is now the single largest line, with EV charging around 40%. Plainly: the company is now more a solar business than an EV-charging one, a big change from FY24 when EV chargers led.

Domestic vs export: exports are only ~5–8% of revenue (last stated Q1 FY26); the business is **overwhelmingly domestic (~92%+)** despite frequent talk of Dubai, Germany, UK and African markets.

Capacity utilization: plants ran above ~60% in FY26; management targets ~100% utilization during FY27, "from Q2 onwards" — i.e. there is meaningful headroom to grow output on the new ₹64 cr capacity before spending more. Inverter output is being scaled from ~10,000–12,000 to a targeted 25,000 units/month.

3. Earning-trigger thesis

The core pitch is that Servotech rides three structural tailwinds at once — **India's solar rooftop push (PM Surya Ghar), the EV-charging build-out, and battery storage** — while scaling a **retail/dealer channel** (grown from ₹2 cr/month in FY22 to ~₹25 cr/month) that carries higher margins and shorter cash cycles. FY26 gave real evidence: record 11.6% operating margin, a record H2, and a genuine shift to a richer solar + high-capacity-charger + BESS product mix. The problem is that the **specific** trigger management points to keeps changing (EV chargers → solar → solar-PV manufacturing → BESS → lithium packs → exports), and the growth it produces has not converted to cash.

Trigger	What management said	Evidence so far	Horizon	Strength
Solar (rooftop + inverters + PV)	Now the lead engine; to be 60–70% of revenue; margin-accretive mix shift.	Real: ~51% of FY26 sales; drove record margin; railway & state rooftop orders won.	Live now	Moderate playing out, but recent (FY26) and low cash conversion.
Retail / dealer channel	Scale to >50% of revenue in FY27; ~4,000 retailers; low working capital (<30 days).	Grown ~12x to ~₹25 cr/month; the most credible margin + cash-cycle lever.	1–2 yrs	Moderate genuine traction; the >50% target is unproven.
EV DC fast chargers (120–360 kW)	Original headline trigger; OMC/ railway orders; high-value units.	Faded: chargers supplied but ~40% not installed (grid delays), payments stuck.	Stalled	Weak demoted from lead trigger to a payment problem.
BESS + lithium battery packs	New leg; e-rickshaw packs (ICAT-approved); >₹100 cr potential.	Early: ~1% of revenue; mostly assembly (cells imported), targets unmet so far.	2–3 yrs	Unproven real market, but negligible today.
Capacity ramp (₹64 cr)	New lines commissioned; FY27 to fill to ~100% utilization and lift the bottom line.	Assets built (fixed assets ₹64→₹117 cr); utilization still only >60%.	FY27	Unproven operating leverage promised, not yet shown.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
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Q1 FY24	~100% revenue growth in FY24; ₹500–600 cr from ₹2,000 cr of tender bids.	FY24 revenue grew ~27% to ₹355 cr — well short.	Missed
FY24 (repeated)	6 lakh charger/yr capacity by FY26; ₹300 cr capex; UP mega-plant.	UP plant slipped at land stage; bridged by smaller plants; target quietly dropped.	Dropped
Q2 FY25	Slide showed ₹225 cr solar revenue for FY25.	Admitted the figure was "100% incorrect" and removed it.	Retracted
Q3 FY25	"100% sure" ₹200–300 cr fundraise before June 2025.	Deferred citing weak markets; a QIP is again "in progress" a year later.	Missed
FY25 → FY26	Solar to become 60–70% of revenue (a "reversal" from EV).	Largely delivered: solar reached ~51%, EV ~40% — the mix did flip.	Partly
Q4 FY26 → FY27	Positive operating cash flow, gearing <0.5×, working capital 60–70 days.	Too early — the key test of FY27.	Too-early

Narrative drift is the central concern. Over three years the headline earning story has changed almost every year — from EV DC chargers (FY24) to solar and solar-PV manufacturing (FY25) to a full "reversal" into solar + BESS + exports (FY26) — with a rotating cast of attention-grabbing headlines along the way (Elon Musk as global advisor, a Dubai hub, Mauritius/Germany/UK tie-ups, Sonu Sood as brand ambassador, a cricket-franchise investment, and a medical-devices arm now being wound down). Early aggressive targets gave way to repeated "I should commit less and deliver more" hedging, and the margin story was reframed from "scale lifts margins" to "deliberate China-price / consolidation." Some things did land — the solar mix flip, the retail-channel scale-up, and a record FY26 margin — but the pattern of missed guidance, a broken fundraise promise, a retracted slide, and the near-total exit of foreign institutional holders (8.9%→0.05%) all point to a story that shifts faster than it delivers.

5. Bottom line

Durable earning trigger? → MAYBE

There are real, live drivers — a genuine solar/renewable mix shift that lifted FY26 margins to a record, a retail channel scaling fast, and structural demand behind rooftop solar, EV charging and storage. Revenue has genuinely grown from ₹249 cr (FY23) to ₹637 cr (FY26). But it stops short of YES for two reasons: the specific trigger keeps migrating year to year (so no single one is proven durable), and the growth is **not converting to cash** — two straight years of negative operating cash flow, receivables and debt ballooning to fund it. A trigger that grows reported profit but never turns into cash is not yet durable. FY27 (positive cash flow, lower gearing) is the make-or-break test.

Management consistent? → NO

The record shows repeated misses and drift: the ~100% FY24 growth promise missed, the 6-lakh-charger capacity vision dropped, a "100% sure" June-2025 fundraise deferred, a solar-revenue slide retracted as "100% incorrect," and a headline story that rotates through EV → solar → BESS → exports with a steady supply of celebrity/geography headlines. Management does deliver on some operational fronts (the solar mix flip, channel growth, record margin) and is refreshingly direct about the balance-sheet stress — but on the promised-vs-delivered test that defines consistency, the pattern is too shaky to call anything but NO.

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